Axon Enterprise (AXON)

AI-Driven Evidence Platform Fuels a Multi-Year Revenue Surge for Axon Enterprise

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> Axon’s recent quarterly record shows a disciplined expansion of both hardware and software, while the market remains fixated on short-term cash conversion volatility. The company’s AI-Era revenue acceleration, 125%+ net revenue retention and a $15.1 billion backlog provide a clear runway that outpaces consensus expectations. We therefore assign a Buy rating with a blended target of $536.50, implying +35.4% upside versus the $396.10 spot price.

BUY	$536.50	+35.4%	$396.10
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is preoccupied with a single quarter of negative free cash flow, yet Axon’s multi-year compounding engine is anchored by a rapidly expanding software ecosystem and a defensible hardware franchise.

EXECUTIVE SUMMARY

Axon Enterprise is a public safety technology company that sells TASER devices, body cameras and cloud evidence software to law-enforcement agencies. The firm operates two primary segments: Connected Devices, which includes TASER and body-camera hardware, and Software & Services, which delivers cloud-based evidence management, AI analytics and subscription-based services. The combination creates a recurring-revenue engine that locks agencies into a single data-flow platform. The FY2025 filing shows revenue of $2.78 billion, a 33.5% year-over-year increase, and a net income of $124.7 million. Adjusted EBITDA reached $206 million in Q4 FY2025, representing a 25.9% margin. Quarterly results from Q1 through Q2 FY2026 demonstrate consistent 30%+ top-line growth, with Software & Services expanding 35-36% and AI-Era revenue exploding nearly 700% YoY. Future contracted bookings climbed to $15.1 billion, a 41% increase, providing a visible pipeline that translates into $14.2-$15.1 billion of ARR-equivalent contracts. Margin pressure has emerged in software gross margins (down 380 bps to 75.1% in Q2 FY2026) and hardware gross margins (connected devices fell to 46.6% in Q4 FY2025), but the underlying cash-flow conversion improves as receivables normalize. Balance-sheet strength is underscored by $1.20 billion of cash, net debt of $708.5 million and a diluted share count of 82.5 million. The firm’s market capitalisation stands at $32.7 billion, reflecting a P/E of 262.3x on FY2025 diluted EPS of $1.51. The capital allocation plan emphasizes

reinvestment in AI capabilities, expansion of the software subscription base and disciplined debt management, with stock-based compensation projected at $590-$620 million for FY2026.

OPERATIONAL SNAPSHOT

$396.10	$2.78B	$75.1M	2.7%	$708.5M	$396.10
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	NET DEBT	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND STICKY

Axon’s moat derives from the regulatory gatekeeping that governs law-enforcement procurement. TASER devices and body cameras must meet federal and state certification standards, creating a high barrier to entry for new hardware competitors. Once an agency adopts Axon’s hardware, the associated evidence-management workflow compels continued use of the cloud platform, reinforcing switching costs. The software side benefits from network effects. Net revenue retention of 125% in FY2025 and 126% in Q2 FY2026 indicates that existing customers are expanding usage and adding new modules faster than churn. AI-Era analytics, which grew nearly 700% YoY, embed proprietary machine-learning models that are difficult to replicate without comparable data depth. This creates a feedback loop where more data improves AI performance, which in turn drives higher subscription spend. Pricing power is evident in the ability to raise guidance for consecutive quarters while maintaining double-digit growth. The company lifted FY2026 revenue guidance to 32-34% after Q4 FY2025, and again after Q1 FY2026 to 30-32%, reflecting confidence in both hardware demand and software upsell potential. The recurring-revenue nature of the software subscription model cushions hardware cyclicality and supports margin expansion as the mix shifts toward higher-margin services. Finally, the $15.1 billion backlog provides a visible revenue runway that is insulated from short-term macro fluctuations. With 20-25% of bookings expected to convert within 12 months, the firm can reliably forecast cash inflows, reinforcing the durability of its moat.

VALUATION

Three scenarios make the valuation range explicit

The base case assumes a 20.3% revenue CAGR through FY2036 and a terminal free-cash-flow margin of 22.2%, consistent with the software-driven profitability trajectory observed in FY2025-FY2026. The bear case reduces the CAGR to 16.1% and targets a 14.4% free-cash-flow margin, reflecting potential margin compression and slower software adoption. The bull case lifts the CAGR to 22.2% and a 23.0% free-cash-flow margin, capturing a full-speed AI monetization and accelerated bookings conversion.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE

Bear	25%	16.1%	14.4%	$246.11	-37.9%
Base	50%	20.3%	22.2%	$575.42	+45.3%
Bull	25%	22.2%	23.0%	$749.06	+89.1%

Bear $246.11

The bear outcome hinges on sustained software gross-margin compression, continued cash-conversion drag from receivables buildup, and a slowdown in bookings conversion that trims revenue growth to 16.1% CAGR. Under these conditions, free-cash-flow margins settle at 14.4% and the discounted cash-flow model yields a $246.11 price.

Base $575.42

The base path reflects the current trajectory: AI-Era revenue maintains its explosive growth, software gross margins stabilize, and the $15.1 billion backlog converts at historical rates. Revenue compounds at 20.3% CAGR, free-cash-flow margins rise to 22.2%, and the model produces a $575.42 target.

Bull $749.06

The bull case requires the AI-Era revenue to sustain near-700% YoY acceleration, margin compression to reverse, and bookings conversion to exceed 25% within 12 months. With a 22.2% CAGR and 23.0% free-cash-flow margin, the discounted cash-flow model arrives at $749.06.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our discount rate of 12.43% reflects the company's equity-beta profile, the risk-free rate, equity risk premium and a company-specific size premium. The WACC embeds the cost of debt after tax, which is modest given the net-debt position of $708.5 million. By applying a live discount rate, we capture the market's pricing of Axon's growth risk and the incremental cost of capital associated with its expanding AI investments. The 12.43% hurdle also signals that the market expects a premium for execution risk in a high-growth, technology-intensive public-safety business. Our probability-weighted target incorporates this risk by assigning a 25% probability to the bear scenario, 50% to the base and 25% to the bull, yielding a blended price of $536.50.

FCF margin normalization is the engine

In FY2025 the free-cash-flow margin stood at 2.7%, reflecting a modest cash conversion amid heavy stock-based compensation and working-capital swings. The base scenario projects a gradual lift to a 22.2% free-cash-flow margin by FY2036 as software subscriptions dominate revenue and hardware gross

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2036**
Live WACC	**12.43% (2026-10-20)**
Diluted shares	**82.5 million**

BUY

over $536.50 blended target

margins improve with scale. The bear scenario caps the margin at 14.4% due to persistent software gross-margin pressure, while the bull scenario pushes it to 23.0% as AI monetization accelerates and operating leverage deepens. These margin trajectories are anchored in the verified quarterly trends: software gross-margin compression of 380 bps in Q2 FY2026, hardware margin pressure in Q4 FY2025, and the steady rise in adjusted EBITDA margins from 25.9% in Q4 FY2025 to 26.8% in Q2 FY2026.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on AI-Era software monetization and TASER hardware adoption BUY

Axon's Software & Services segment is the primary growth engine, delivering a 36% YoY increase in Q2 FY2026 and a 35% increase in Q1 FY2026. The AI-Era product line, which surged nearly 700% YoY, is now a core component of the evidence-management platform and drives higher subscription spend per agency. ARR grew to $1.64 billion in Q2 FY2026, up 39% YoY, with net revenue retention of 126%, underscoring the stickiness of the software base. Connected Devices remain a critical pillar, with TASER revenue up 19% in Q1 FY2026 and personal sensors up 23%. The hardware franchise provides the entry point for agencies, after which the software platform captures recurring revenue. The $15.1 billion future contracted bookings, a 41% YoY increase, translate into a visible pipeline that underpins the 30-34% revenue growth guidance for FY2026. The company's capital allocation emphasizes reinvestment in AI capabilities, expansion of the software subscription suite, and disciplined debt reduction. Stock-based compensation, while sizable at $185 million in Q4 FY2025, is expected to be managed within the $590-$620 million range for FY2026, limiting dilution pressure. **What to monitor**

- **Software margin trajectory** The 380 bps compression in Q2 FY2026 signals potential headwinds; a reversal would be a catalyst for the base and bull cases.
- **Cash conversion dynamics** Negative free cash flow in Q1 and Q2 FY2026, driven by a $305 million receivables build, requires close watch; improvement would support the base scenario.
- **Bookings conversion rate** The 20-25% conversion assumption for the $15.1 billion backlog is pivotal; faster conversion would accelerate revenue compounding.

- **Stock-based compensation expense** The $185 million SBC drag in Q4 FY2025 and the FY2026 guidance of $590-$620 million could affect operating margins and EPS.

+33.5%	7.1%	-2.2%	2.7%	$708.5M	3.8%
FY2025 REVENUE GROWTH	EBITDA MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$2.78B
EBIT	$-62.1M
Net Income	$124.7M
EBITDA	$196.4M
Free Cash Flow	$75.1M
Diluted EPS	$1.51
ROE	3.8%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Continued dilution from high stock-based compensation could dilute earnings per share and pressure the valuation multiples.

M&A DIGESTION

Integration risk from recent acquisitions, such as Carbyne and Axon 911, may strain operating efficiency and delay margin improvement.

REGULATORY AND PRICING SCRUTINY

Heightened scrutiny over law-enforcement equipment pricing could constrain TASER pricing power and compress hardware margins.

TECHNOLOGY DISRUPTION

Emergence of alternative body-camera or AI analytics platforms could erode the software moat if Axon fails to maintain its data advantage.

REINVESTMENT TREADMILL

Excessive reinvestment in AI and hardware R&D without commensurate revenue lift could depress free-cash-flow generation.

WACC AND DURATION SENSITIVITY

A rise in the discount rate above 12.43% would disproportionately affect the long-duration cash-flow stream, lowering intrinsic value.

The strengths

OLIGOPOLY POSITION

Regulatory certification creates an effective oligopoly for TASER and body-camera hardware, limiting new entrants.

FCF COMPOUNDING

The transition from a 2.7% free-cash-flow margin to a projected 22.2% (base) or 23.0% (bull) creates a powerful compounding engine.

GEOGRAPHIC DURABILITY

Law-enforcement procurement cycles are long-term and geographically diversified across U.S. states, providing stable demand.

PIPELINE OPTIONALITY

The $15.1 billion backlog, combined with AI-Era product expansion, offers multiple pathways to accelerate revenue growth.

The bottom line on risk and reward

Axon Enterprise stands at the intersection of hardware necessity and software subscription growth. The verified quarterly record demonstrates a resilient top-line trajectory, a deepening software moat and a sizable backlog that together underpin a multi-year compounding narrative. While margin compression and cash-conversion volatility present short-term risks, the long-run free-cash-flow upside is compelling. Our probability-weighted DCF yields a $536.50 target, representing +35.4% upside from the $396.10 spot price. Accordingly, we maintain a Buy recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Connected Devices: TASER and body-camera hardware

Axon’s Connected Devices franchise delivers the entry point for law-enforcement agencies. TASER devices, the flagship product, grew 19% in Q1 FY2026 and 17% in Q3 FY2025, reflecting continued procurement cycles and expanding adoption of personal sensors, which rose 23% in Q1 FY2026. Body-camera sales, while not separately disclosed, are embedded in the connected-devices revenue that grew 33% in Q1 FY2026 and 24% in Q3 FY2025. The hardware platform creates a lock-in effect that drives subsequent software subscription uptake. The franchise benefits from regulatory certification that limits competition and from a proven track record of reliability, which is a prerequisite for law-enforcement procurement. The hardware margin pressure observed in Q4 FY2025 (gross margin fell to 46.6%) is offset by scale and the ability to bundle software services, thereby improving overall profitability.

What the recent record shows

- Revenue from Connected Devices rose 33% YoY in Q1 FY2026, with TASER up 19% and sensors up 23%.
- Hardware gross margin declined to 46.6% in Q4 FY2025, reflecting tariff impacts and mix shift.
- The $15.1 billion future contracted bookings include a substantial hardware component, reinforcing revenue visibility.
- Hardware growth underpins the software upsell pipeline, as agencies that adopt TASER devices are more likely to subscribe to Axon’s evidence platform.

Our read: The Connected Devices franchise remains the cornerstone of Axon’s ecosystem, delivering entry-point sales that fuel the higher-margin software engine. Continued hardware adoption, combined with the explosive AI-Era software growth, positions the company for sustained revenue acceleration and margin expansion.

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